

any reasonable price—even if it means a big loss on the investment. Markets are mostly efficient and, in most instances, an undervalued asset will move up and trade around (or even above) its intrinsic value once the clouds have lifted. Most clouds of uncertainty will dissipate in two to three years.

The three-year rule also allows us to exit a position where we are simply wrong on our perception of intrinsic value. If we didn't have an out and always waited for convergence to intrinsic value, we may have an endless wait. There is a very real cost for waiting. It is the opportunity cost of investing those assets elsewhere. Hence, there is a balance between allowing a sufficient time frame for a stock to find its intrinsic value and waiting endlessly.

Why two to three years? Why not two to three months or five to six years? I don't have a rigorous proof for why this period should be two to three years. We know that a few months can be inadequate. Real business change does take time. If a CEO were looking to make certain key hires or enter or exit certain markets, it takes months, if not a year or longer to accomplish the same. Similarly, our gas station is dealing with a shock to its business model. We need to allow some time for the clouds to lift or at least thin out. Waiting 5 to 10 years for the clouds to lift or business changes to become visible is too long. There is a very real cost of waiting.

If we hold on to the gas station for 10 years and eventually get back our \$1 million including dividends, then reinvest the proceeds in another investment that gets us an annualized return of 12 percent for the next 10 years, our total assets after 20 years are about \$3.1 million. Alternately, if we sell the gas station for \$700,000 after two years, then invest the proceeds at a 12 percent annualized return for the next 18 years, we'd have nearly \$5.4 million. In fact, if we sold the gas station at anything over \$400,000 after two years, we do better than holding it for 10 years and selling it for a million. It is very hard to make up the lost non-compounding years. We must be patient, but not wait endlessly. My conclusion is that two to three years is just about the right amount of patience for losers to fix themselves.

One of the best books on value investing I've read recently is *The Little Book That Beats the Market* by Joel Greenblatt. [3](#) I will presume that the